

Table 7.11 DAX Performance Across Systems (1/1961 to 12/2014)

	DAX B&H	DAX ROBUST	DAX TMOM	DAX MA
CAGR	5.54%	6.16%	6.28%	5.91%
Standard Deviation	19.27%	13.51%	14.02%	13.84%
Downside Deviation	13.52%	9.67%	9.97%	9.65%
Sharpe Ratio	0.13	0.16	0.17	0.14
Sortino Ratio (MAR = 5%)	0.17	0.20	0.21	0.18
Worst Drawdown	-68.28%	-32.45%	-35.63%	-37.95%
Worst Month Return	-25.42%	-21.52%	-21.52%	-21.52%
Best Month Return	21.38%	18.01%	18.01%	18.01%
Profitable Months	56.48%	71.30%	74.54%	73.92%

Additional Tests

We have done extensive analysis on technical trading rules. In general, simple technical rules work just as well, or better, than complex technical rules. Also, technical rules, such as the moving average rule, don't beat buy and hold all the time. For example, if one starts an S&P 500 dataset in 1938 and runs it through 2013, the simple moving average rule is arguably no better than buy and hold. This is a cherry-picked start date, but the point is that there is no silver bullet and risk is inevitable, regardless of how you manage it. One must always consider the very real possibility of downside potential.

Why Might Technical Rules Work?

So the results behind these rules appear robust; however, the greater question is, *why* do they work? One would think that everyone in the market would simply deploy these risk management tools, thereby rendering them ineffective, right?

We believe there is a behavioral story underlying the success of simple technical trading rules. Consider the concept of dynamic risk aversion, which is the idea that human beings don't view risk and reward the same